

PRICE OF THE COMMODITY

SCENARIO
A bottle of water costs TSh 1,000. The price falls to TSh 500.
DISCUSSION QUESTION
What may happen to the quantity demanded when the price falls?

Pair/Group Activity: Discuss and give your answer.

INCOME OF THE CONSUMER

SCENARIO
An exercise book costs TSh 5,000. Student A has TSh 2,000, while Student B has TSh 10,000.
DISCUSSION QUESTION
Who is able to buy the exercise book? How can income affect effective demand?

Pair/Group Activity: Discuss and give your answer.

P^RICE

TASTES AND PREFERENCES

SCENARIO
Two students are choosing between biscuits and chocolate. One prefers biscuits while another prefers chocolate.
DISCUSSION QUESTION
How can tastes and preferences affect demand?

Pair/Group Activity: Discuss and give your answer.

P^RICE THEORY

PRICE OF RELATED GOODS

SCENARIO
Coke and Pepsi are substitute goods. The price of Coke increases.
DISCUSSION QUESTION
What may happen to the demand for Pepsi? Give a reason.

Pair/Group Activity: Discuss and give your answer.

pPRICE THEORY

EXPECTATIONS ABOUT FUTURE PRICES

SCENARIO
The current price of a commodity is TSh 2,000. Consumers expect its price to rise to TSh 3,000 tomorrow.
DISCUSSION QUESTION
What might consumers do today if they expect the price to rise tomorrow?

Pair/Group Activity: Discuss and give your answer.

pPRICE THEORY

NUMBER OF CONSUMERS

SCENARIO
A shop has 3 customers today. During a school event, 30 students come to the shop.
DISCUSSION QUESTION
How can an increase in the number of consumers affect market demand?

Pair/Group Activity: Discuss and give your answer.